Stock Market Fundamentals: One-Page Summary

Week 2 | Domain knowledge only, not investment advice.

1. The Market and Its Venues

A stock market is a regulated marketplace where shares of listed companies are issued and traded. Companies raise capital by selling ownership stakes; investors earn through price appreciation and dividends. In India the regulator is SEBI.

- **NSE:** India's largest exchange by trading volume; benchmark index is the Nifty 50.
- **BSE:** Asia's oldest exchange (1875); benchmark index is the Sensex (30 large companies).
- **Nifty and Sensex:** baskets of large, liquid companies used as a quick read on overall market direction.

2. Raising Capital

- **IPO:** a private company sells shares to the public for the first time and gets listed.
- **SME IPO:** the same for small and medium enterprises, on NSE Emerge and BSE SME. Norms are lighter and lot sizes larger, so risk is generally higher.

3. Key Metrics

Term	Meaning	Formula / Note
Market Capitalization	Total market value of a company's shares	Share price × shares outstanding
EPS	Profit attributable to each share	Net profit ÷ shares outstanding
PE Ratio	Price paid per ₹1 of earnings	Price ÷ EPS
PB Ratio	Price relative to net asset value	Price ÷ book value per share
Dividend	Share of profit paid to shareholders	Dividend yield = dividend ÷ price
Trading Volume	Shares traded in a period; shows liquidity	Higher volume = more market interest

A high PE can signal growth expectations or overvaluation; a low PE can signal value or trouble. Compare only within the same sector and over time.

4. Corporate Actions

- **Bonus issue:** free extra shares to existing holders (e.g. 1:1). Share count rises, price adjusts down, total value unchanged.
- **Stock split:** face value is divided (e.g. ₹10 to ₹2). More shares at a lower price, total value unchanged; improves affordability and liquidity.

5. Financial Statements

- **Balance Sheet:** snapshot of assets, liabilities and equity at a point in time (Assets = Liabilities + Equity).
- **Profit & Loss:** revenue, expenses and net profit over a period.
- **Cash Flow Statement:** real cash movement from operating, investing and financing activities; shows whether profits are backed by cash.

6. Basic Financial Ratios

- **Net Profit Margin** = Net profit ÷ Revenue (profitability)
- **ROE** = Net profit ÷ Shareholders' equity (return on owners' money)
- **Debt-to-Equity** = Total debt ÷ Equity (leverage)
- **Current Ratio** = Current assets ÷ Current liabilities (short-term liquidity)

7. Why This Matters for a Data Analyst

These terms are the column names and KPIs in Bluestock datasets. Knowing them helps you clean fundamentals correctly (e.g. adjusting historical prices for splits and bonuses), interpret price data, and explain results to non-technical teams.